Schneider Electric

Q3'26 Sales - First Take - Triple-digit DC growth drives strong Q3, FY guidance upgrade largely in line with consensus

Neutral

SCHN.PA, SU FP
Price (15 Oct 26):€258.00
Price Target (Dec-27):€310.00

European Capital Goods

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Our Take: The Schneider results are objectively strong at +16.9% OSG, driven by Data Center and the broadening out of growth in other end markets including China and discrete automation, which is supportive of our positive sector stance overall and previously positive view on Schneider prior to the announcement of the PTC deal. However, a beat and raise was everybody's base case. Based on our conversations, buyside expectations were 16%+, so the beat is relatively modest versus that bar. The growth was driven by Energy Management (+18.8% vs. +15.1% consensus), where the beat was driven by China & East Asia and South Asia & International regions, while North America growth (+20.3%) was slightly below consensus (+21.4%). Data Centers saw triple-digit growth in the quarter. Industrial Automation organic growth (+8.1%) was slightly ahead of consensus (+7.7%) as weakness in China & East Asia and South Asia & International regions was offset by exceptional strength in North America (+16.3% vs. +7.1% consensus). Schneider raised FY guidance on both organic growth (lifting mp by 150bps) and Adj EBITA margin (lifting mp by 25bps). The midpoint of the new guidance is largely aligned with consensus, while achieving the upper end could bring an upgrade of ~2% to consensus 2026 Adj EBITA. There were no details on a potential capital increase to help fund the equity part of the PTC deal, which is an overhang for the shares.

- **Noteworthy Areas:** *Details on the headline numbers and versus consensus/ JPMe are in Table 1.* Group sales came in 5%/3% versus JPMe/consensus, with Energy Management sales 6%/3% ahead and Industrial Automation 1%/1% ahead. Organic growth of +16.9% was stronger than JPMe/Consensus at +12.0%/+13.8%.
- **1) Products**, 48% of Q3 revenues, was up +17% organically. Growth was mainly driven by volume, with price increasing sequentially as expected, and actions taken at the start of the year now at full run-rate. EM product revenues were +DD%, reflecting broad-based growth in electrical power distribution across all four end-market. IA products were +DD% too, supported by the sustained recovery in discrete automation.
- **2) Systems**, 35% of revenues, was up +22% organically with strong DD% growth in EM driven by DC alongside a strong performance in the infrastructure end market. IA systems sales grew LSD% reflecting good growth with OEMs in discrete automation, while process & hybrid markets saw declines overall, impacted by weakness in China.
- **3) Software and Services**, 17% of revenues, grew +7% organically. AVEVA saw ARR of +10%, led by upsell to existing customers and supported by new logo wins. Services was +HSD%.
- **4) By end-market:** The Buildings end-market saw strong demand in the quarter, driven mostly by strength in non-resi, while resi demand remains concentrated in specific countries, most notably in India. Schneider saw another quarter of triple-digit demand in the pure Datacenter segment, with

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strong demand across all four regions, led by North America, while demand in China & East Asia accelerated to a similar rate. In the Industry end-market, demand was strong, with sustained strong demand momentum in discrete, strong demand in hybrid, while demand in process was contrasted by region. The Infrastructure end-market saw good demand in the quarter, with strong strongest demand in the Water & Wastewater segment.

- **Outlook & Guidance:** For 2026, Schneider raised its organic growth guidance to 12-14% from +10-13% (JPMe/Consensus: +12.7%/+13.3%). It now sees organic adj EBITA growth of 18-21%, up from +14-19%, which implies adj. EBITA margin of c.19.7-19.9%, compared to ~19.4%-19.7% prior (JPMe/Consensus: 20.2%/19.7%) based on current scope and FX. In addition: 2026 FX is guided to be a €300-400mn headwind on revenue (€400-500m prior) with a flat impact on the margin (unchanged). Scope is guided to a €-50mn impact on revenue (vs. flat prior) and no impact on margin (unchanged). The tax rate continues to be expected at 23-25% and restructuring costs of around €450mn in 2026 (unchanged).
- **Likely changes to consensus:** For 2026, company-compiled consensus looks for +13.3% organic sales growth and adj. EBITA of €8,868m, implying a margin of 19.7%. The midpoint of the new guidance is largely aligned with consensus, while achieving the upper end could bring an upgrade of ~2% to consensus 2026 Adj EBITA estimates.
- **Peer read-across:** Q3'26 organic growth of +16.9%, with Energy Management at +18.8% and Industrial Automation at +8.1% compares to our estimates of Siemens Digital Industries +8.1% and Smart Infrastructure +11.3%. For Legrand, we model organic sales growth of +10.2%. The broad-based growth is a positive read as we look ahead to Legrand/Siemens results.
- **Valuation:** As of COB October 15th 2026, the stock trades on 17.8x/15.3x 2026E/2027E EV/EBITA and on forward 12m P/E it trades on 22.0x, a ~1% discount relative to its history versus the sector.
- **Conference Call Details:** At 7.30am UK/8.30am CET today. Webcast here.

Table 1: Schneider Q3'26 Results – Summary of results

€m	Q3'26	JPMe	vs JPMe	Consensus	vs Cons.	Q3'25	% y/y
Revenues	**11,460**	**10,940**	**5%**	**11,127**	**3%**	**9,721**	**18%**
Organic (%)	16.9%	12.0%	488 bps	13.8%	306 bps	9.0%	786 bps
Structure (%)	-0.4%	0.0%	-40 bps	-0.1%	-34 bps	0.9%	-130 bps
FX (%)	1.2%	0.5%	68 bps	0.8%	42 bps	-5.0%	624 bps
Revenue							
Energy Management	***9,615***	***9,113***	***6%***	***9,300***	***3%***	***8,039***	***20%***
Industrial Automation	***1,845***	***1,828***	***1%***	***1,827***	***1%***	***1,682***	***10%***
Organic Growth							
Energy Management	***18.8%***	***12.8%***	**598 bps**	***15.1%***	**368 bps**	***9.7%***	**910 bps**
Energy Management - North America	*20.3%*	*15.4%*	*490 bps*	*21.4%*	*-112 bps*	*16.6%*	370 bps
Energy Management - Europe	*9.2%*	*13.8%*	*-462 bps*	*7.7%*	*146 bps*	*4.5%*	470 bps
Energy Management - China & East Asia	*32.4%*	*9.7%*	*2,271 bps*	*17.8%*	*1,464 bps*	*2.4%*	3,000 bps
Energy Management - South Asia & International	*16.0%*	*7.8%*	*818 bps*	*11.4%*	*455 bps*	*8.1%*	790 bps
Industrial Automation	***8.1%***	***8.2%***	***-7 bps***	***7.7%***	***37 bps***	***6.0%***	**210 bps**
Industrial Automation - North America	*16.3%*	*8.7%*	*765 bps*	*7.1%*	*921 bps*	*-1.6%*	1,790 bps
Industrial Automation - Europe	*6.0%*	*8.1%*	*-205 bps*	*5.8%*	*18 bps*	*6.8%*	-80 bps
Industrial Automation - China & East Asia	*8.1%*	*7.9%*	*15 bps*	*12.4%*	*-435 bps*	*7.6%*	50 bps
Industrial Automation - South Asia & International	*3.0%*	*8.1%*	*-510 bps*	*6.3%*	*-335 bps*	*10.9%*	-790 bps

Source: Company reports and J.P. Morgan estimates. *Consensus from company as of October 12, 2026.

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Investment Thesis, Valuation and Risks

Schneider Electric *(Neutral; Price Target: €310.00)*

Investment Thesis

- **Secular outgrowth with a capital allocation overhang.** Schneider has unequivocally, in our view, got the best portfolio when it comes to exposure to attractive secular end markets overall, and continues to offer upper-quartile organic growth and earnings progression, second only to Siemens Energy. This was also true for 2025, however, multiples reflected that fact in late 2024 and marginal downgrades to consensus (FX and tariff driven) in 2025 saw multiples compress, to the extent the shares offered an attractive entry point. The only reason for our Neutral rating, is due to concerns about capital allocation priorities not necessarily being aligned to shareholder priorities.
- **New CFO is important.** The somewhat uninspiring 2025 was of Schneider. However, we think this can largely be attributed to tariff and FX headwinds vis-à-vis elevated market expectations. With a new CFO now in place, confidence was rebuilding during 2026, prior to this capital allocation dent.

Valuation

Our December 2027 Price Target is based on a reverse DCF valuation. The 12-month forward target multiple is 18.5x EV/adj. EBITA, applied to our 2028 forecasts. The multiple takes into account the through-cycle growth, margin, cost of capital and asset intensity.

Risks to Rating and Price Target

- **Management**. In our view, Schneider is generally very well managed with strong exposures to attractive end markets; the capital allocation decisions are the primary risk to valuation at these levels, in our view.
- **End markets**. Hyperscaler and utility capex plans continue to increase from current levels and / or we see a recovery in general construction end markets, which would drive further upside to estimates, or inversely downside to estimates in the event of end market contraction.

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Schneider Electric (SCHN.PA, SU FP) Price Chart



Date	Rating	Price (€)	Price Target (€)
08-Dec-23	OW	172.70	200
15-Feb-24	OW	195.40	220
25-Apr-24	OW	212.65	230
28-Jun-24	OW	226.30	250
31-Jul-24	OW	216.10	270
06-Dec-24	OW	248.65	275
28-Jan-25	NR	245.00	--
29-Aug-25	N	213.70	220
04-Dec-25	OW	229.50	285
26-Feb-26	OW	264.95	325
26-Jun-26	OW	279.55	335
30-Jul-26	OW	256.80	345
06-Oct-26	N	272.80	310

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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